The vices and virtues of conglomerates

Week 10: Mergers, MBOs & other Corporate Reorganizations

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I wish to thank Henri Servaes for making some of his data available to me.

Some recent announcements: 2 opposing views!

South Korea's sprawling conglomerates slim down (FT March 2025): 'as a result of South Korean economy facing significant difficulties. SK country's second largest conglomerate reduced number of business units from 716 to 660 in first 9 months of the financial year. Postco, a steel company, sold 5 of its non profitable non core businesses to invest more in future growth areas. Driven by declining competitiveness with China and tariffs from US.

Ackman'S Pershing Square seeks to construct a Berkshire-like conglomerate (FT JAN 16, 2025). He wants to transform his hedge fund into a diversified financial giant. Lifting stake in Howard Hughes…thinks the group's cash flows , property holdings and balance sheet can provide billions of dollars in cash to fund acquisitions…Deal requires approval of a majority of minority investors

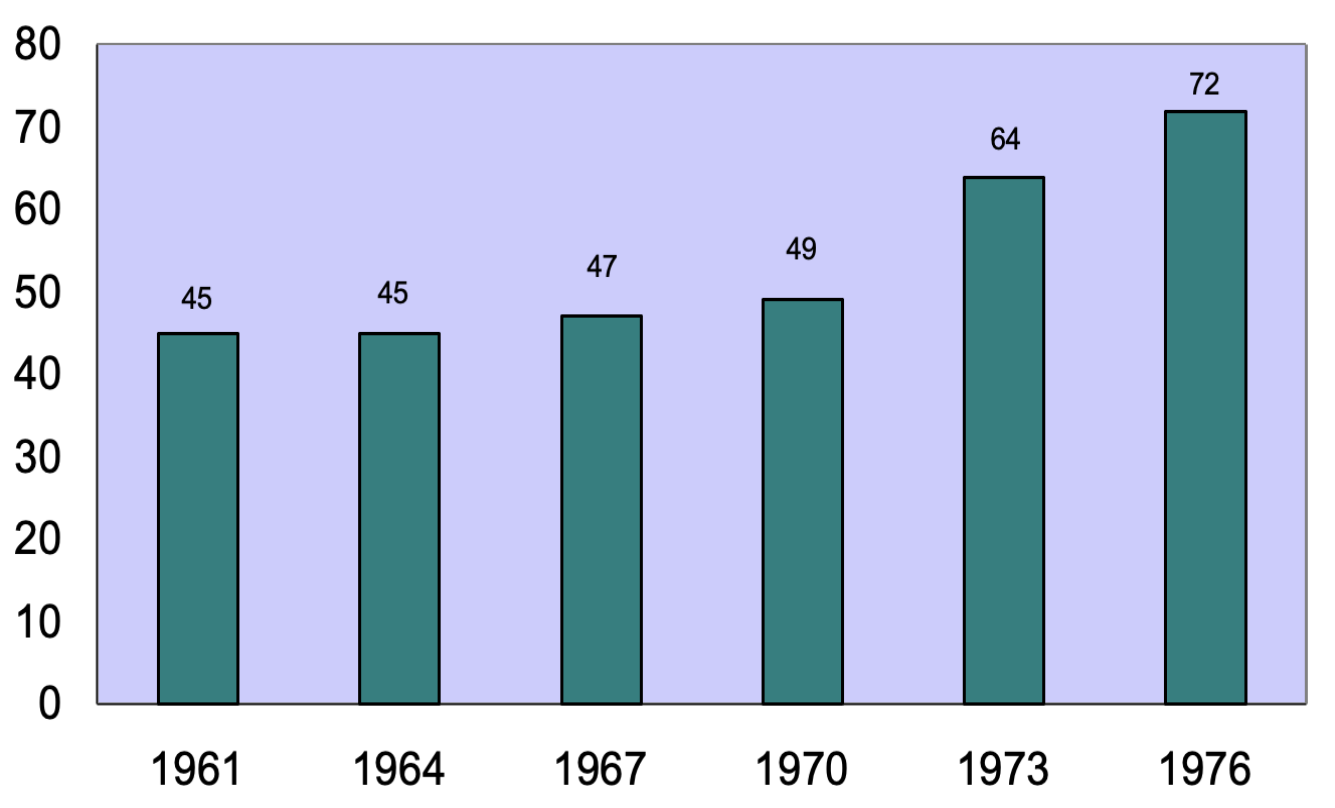
Outline

- Historical trends in diversification
- Valuation of diversified firms and the conglomerate discount
- Benefits of diversification
- Costs of diversification

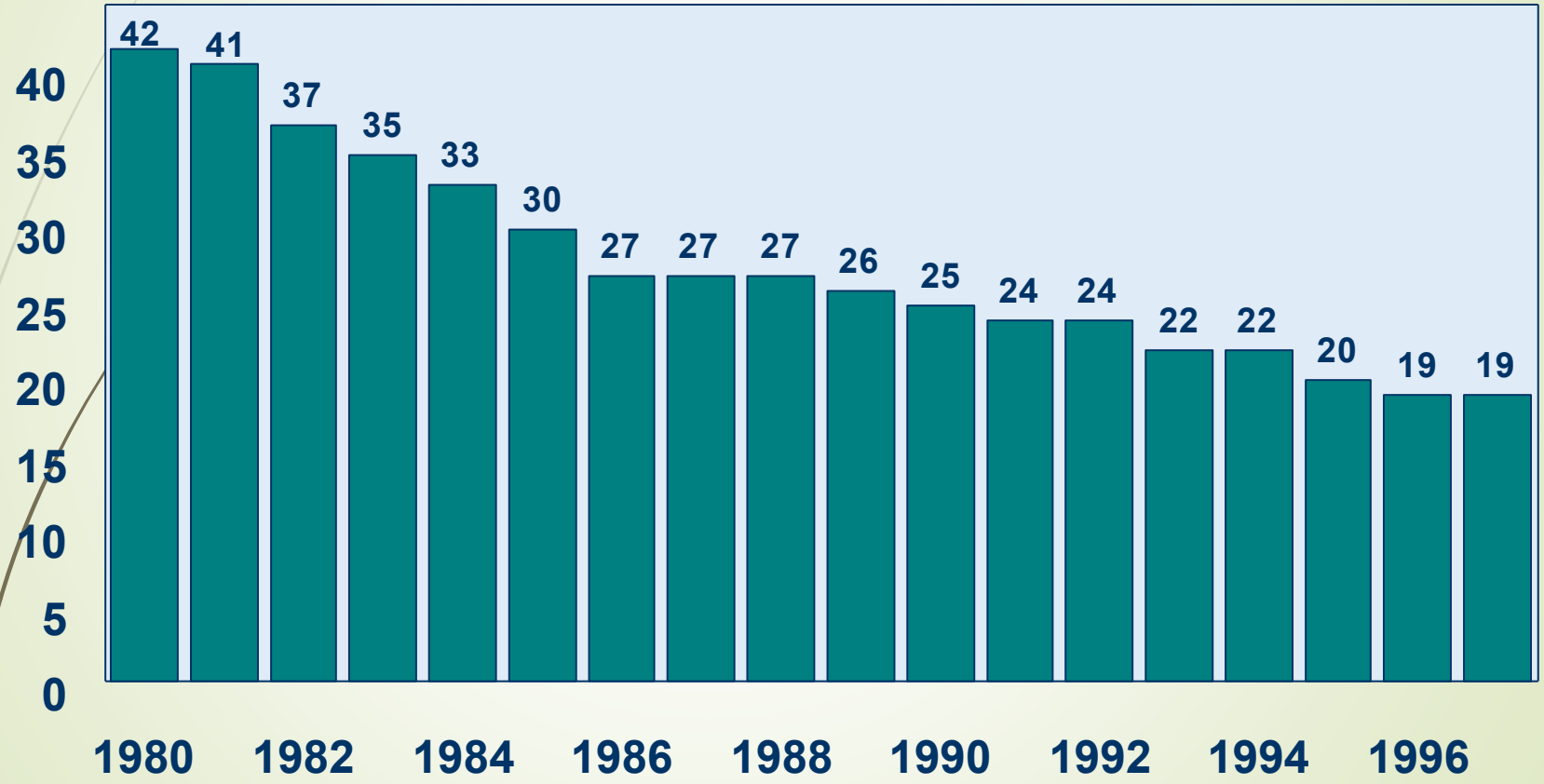
1. Trends in corporate diversification

- During the last five decades, we have seen a complete reversal of the attitude of corporations in developed capital markets towards diversification
- Strong increase during the 1960s and 1970s
- Strong decrease during the 1980s, 1990s & post 2000
- Important part of shareholder activist demands post 2000: demerging through spin-offs
- But some firms remain highly diversified e.g. Tata in India, Warren Buffett in the US and Samsung in South Korea

Historical perspective: % of US diversified firms



Percentage of US diversified firms



Lang and Stulz (1994)

- Part of the decrease during the 1980s was due to bust-up takeovers e.g. Beatrice, KKR-Nabisco.
- Attempt by Sir James Goldsmith, Jacob Rothschild & Kerry Packer to breakup tobacco giant BAT from its insurance division (failed).
- The decrease in diversification in the 1980s and 1990s hides
- an interesting fact:

  The largest US corporations have continued to diversify further

The restructuring of a once mighty conglomerate: GE

FT January 18th 2018

'GE faces tough task to meet hopes for spin-offs'

Finance, Aviation, Health Care, Power, Oil &Gas, Transportation, Lighting

"It is hard to think of a more destructive use of capital than the investments in GE Capital"

Subsequently GE Capital was sold

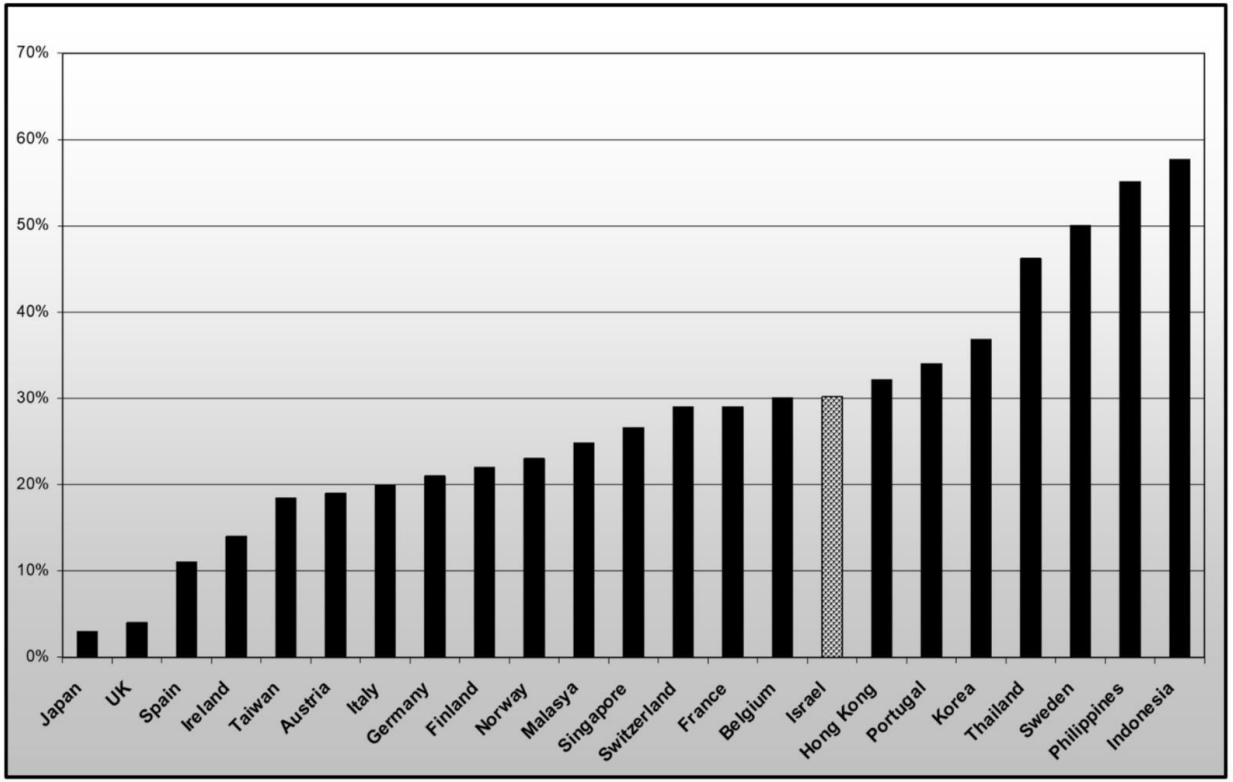
In 2019 GE spun off transportation division to its shareholders through a merger with another company (Wabtec)

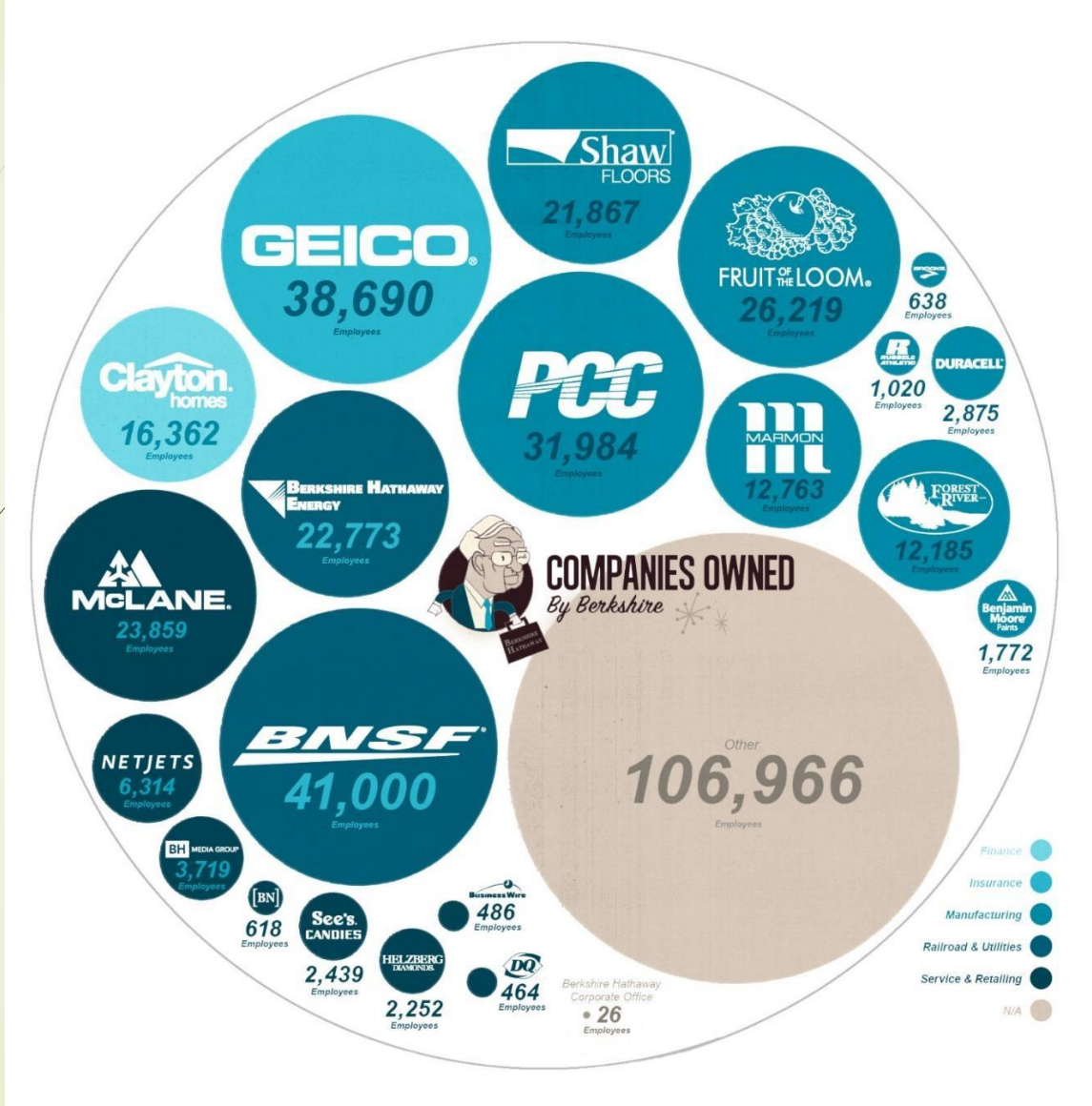
Dec. 2023, Following spinoff of energy business GE renamed GE Aerospace

Conglomerates or Business Groups across Countries

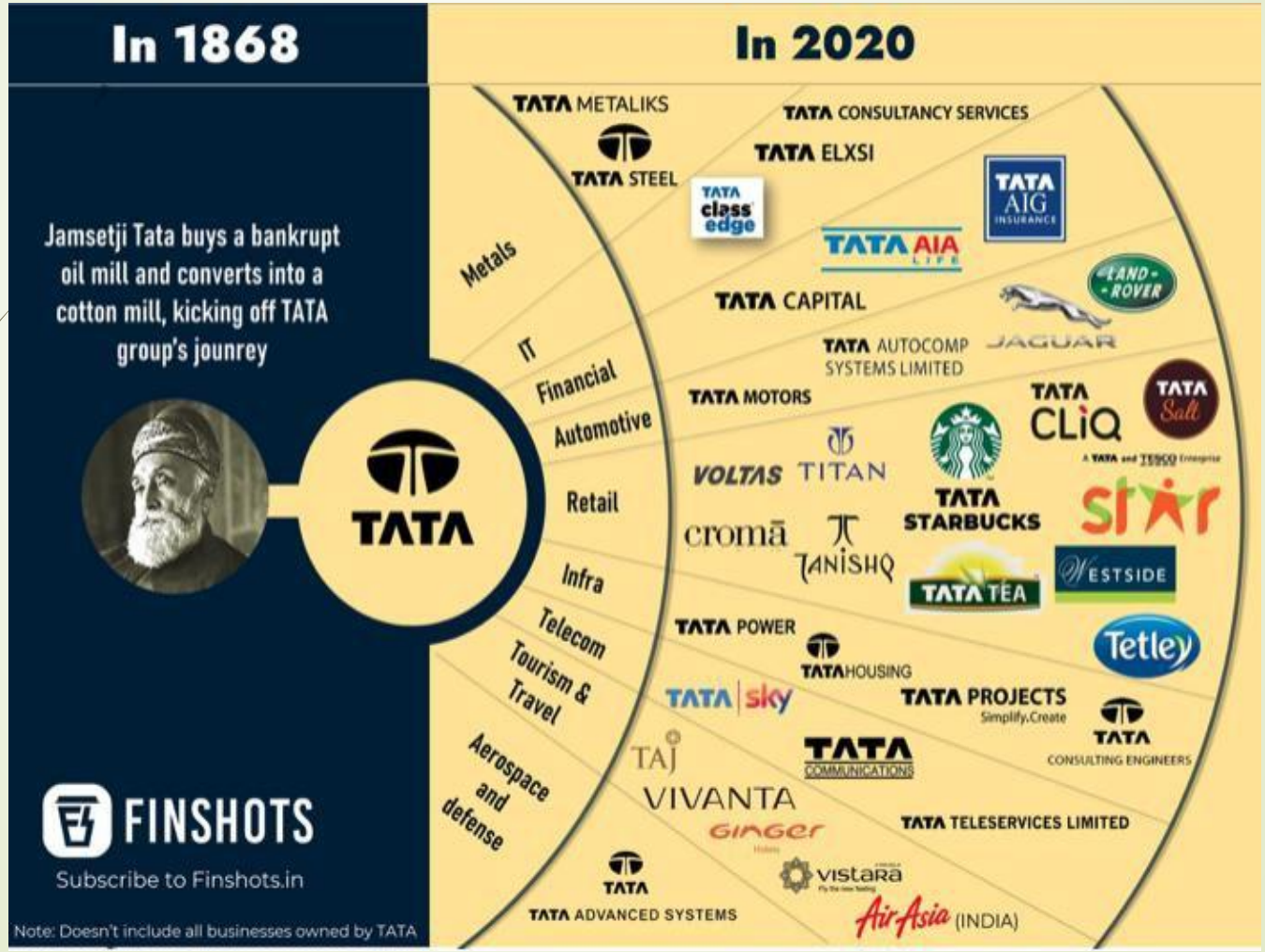
Share in Total Market Cap held by the Ten Largest Families/BGs

Source: Kosenko (2007). The calculation for Israel refers to 2005 with the denominator excluding cross-listed firms and Teva Pharmaceutical Industries which was gigantic, at the time.

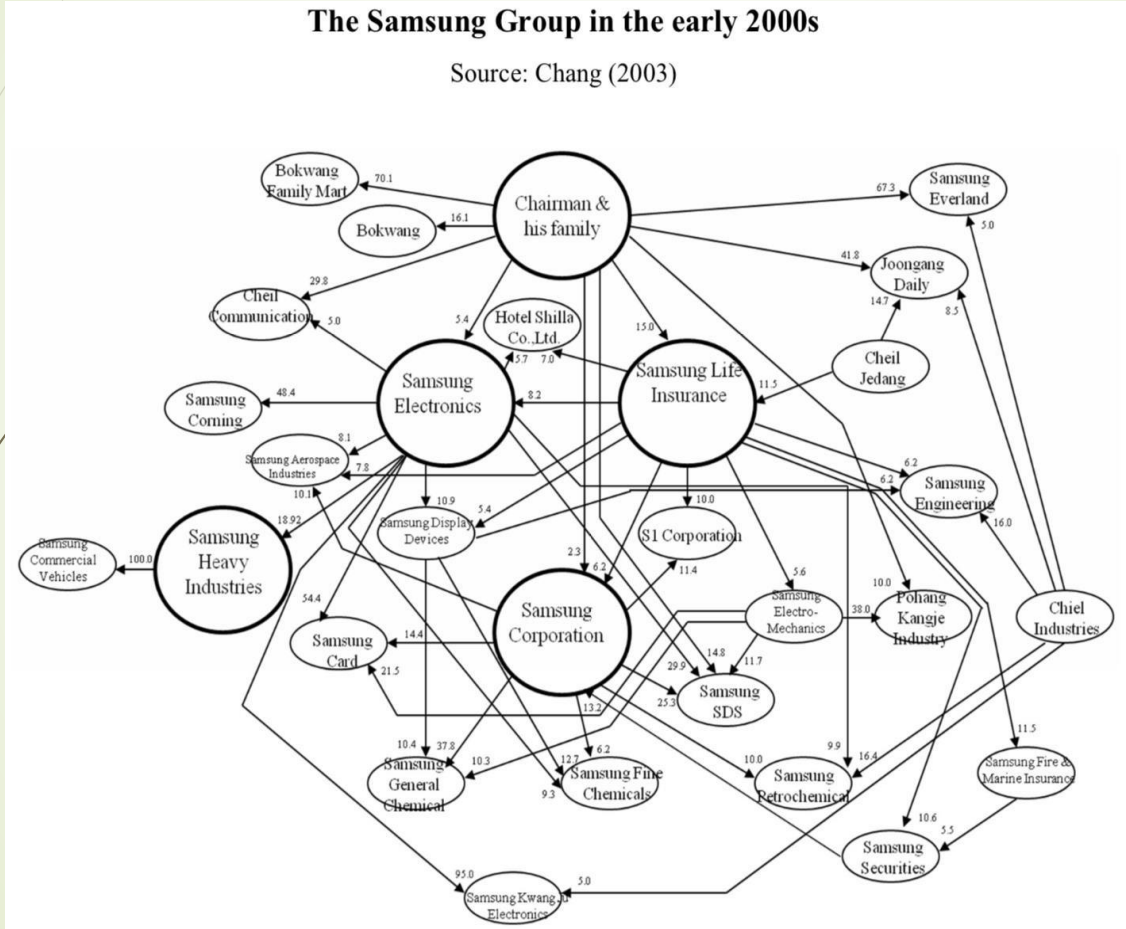



COMPANIES OWNED
By Berkshire
GEICO
38,690
Employees
Shaw FLOORS
21,867
Employees
FRUIT OF THE LOOM
26,219
Employees
638
Employees
1,020
Employees
DURACELL
2,875
Employees
Clayton homes
16,362
Employees
PCC
31,984
Employees
MARMON
12,763
Employees
FOREST RIVER
12,185
Employees
BERKSHIRE HATHAWAY ENERGY
22,773
Employees
McLANE
23,859
Employees
Benjamin Moore Paints
1,772
Employees
BNSF
41,000
Employees
Other
106,966
Employees
NETJETS
6,314
Employees
BH MEDIA GROUP
3,719
Employees
BN
618
Employees
See's CANDIES
2,439
Employees
HELZBERG DIAMONDS
2,252
Employees
BusinessWire
486
Employees
DQ
464
Employees
Berkshire Hathaway Corporate Office
26
Employees
Finance
Insurance
Manufacturing
Railroad & Utilities
Service & Retailing
N/A

Tata Group Companies



Samsung Group Companies



Samsung Life Insurance
Samsung Electronics
Samsung Electro-Mechanics
Samsung Corning Precision Glass
Samsung SDS
Samsung Networks
Samsung Techwin
Samsung Mobile Display
Samsung Digital Imaging
Samsung Fire & Marine Insurance
Samsung Card
Samsung Heavy Industries
Samsung Total Petrochemicals
Samsung C&T Corporation
Samsung Engineering
Cheil Industries
Samsung Everland
Hotel Shilla
Cheil Worldwide
Samsung Medical Center
Samsung Economic Research Institute

Source: https://quartsoft.com/blog/201310/rise- samsung-infographic

Mitsubishi's Horizontal Keiretsu

Mitsubishi Corporation		Bank of Tokyo-Mitsubishi		Mitsubishi Heavy Industries	
Automotive		**Finance & insurance**		**Industrial equipment**	
Mitsubishi Fuso Truck Bus	n/a	DC Card	n/a	Mitsubishi Electric	0.4%
Mitsubishi Motors	20%	Diamond Lease	n/a	Mitsubishi Kakoki	5.3%
Shin Caterpillar Mitsubishi		Meiji Life	n/a	Mitsubishi Precision	14.5%
Electronics & telecom		Mitsubishi Auto Credit	n/a	Toyo Engineering Work	n/a
IT Frontier	n/a	Mitsubishi Securities	n/a	**Industrial materials**	
Mitsubishi Research Inst	0.8%	Mitsubishi Trust & Banking	n/a	Asahi Glass	n/a
Mitsubishi Space Software	n/a	Tokio Marine and Fire	1.1%	Dai Nippon Toryu	n/a
Nikon	0.3%	**Transportation & dist**		Mitsubishi Aluminum	n/a
Space Communications	n/a	Mitsubishi Logistics	2.1%	Mitsubishi Cable Indus	n/a
Resources & energy		Mitsubishi One Transport	n/a	Mitsubishi Materials	1.5%
Nippon Oil	n/a	NYK Line	n/a	Mitsubishi Plastics	n/a
Mitsubishi LPG	n/a	**Chemical & pharmaceutical**		Mitsubishi Rayon	n/a
Mitsubishi Nuclear Fuel	n/a	Dai Nippon Toryu	4.1%	Mitsubishi Shindoh	1.5% now merged with Mitsubishi Material
Mitsubishi Paper Mills	n/a	Mitsubishi Chemical	1.4%	Mitsubishi Steel	6.4%
Real estate & construction		Mitsubishi Gas Chemical	n/a	**Consumer goods & foods**	
Mitsubishi Estate	0.8%	Mitsubishi Petrochemical	n/a	Kirin Beverage	n/a 52% owned by Kirin Hldgs
P.S. Mitsubishi	n/a			Kirin Brewery	0.7%
				Ryoshoku	n/a

Source: "Multinational Finance: Evaluating Opportunities, Costs, and Risks of Operations", Kirk Butler, 2016.

2. Valuation of diversified firms & the conglomerate discount

On average diversified firms trade at a discount:

When each segment of a diversified firm is valued at the same multiple as the median focused firm in its industry, and these values are added up across all segments the implied value of diversified firms is about 15% higher than their actual value for both the UK and the US. Little change when you match on size and industry (17%).

Berger and Ofek (1995) , Lins and Servaes (1999)

Recent estimates of conglomerate discount

- Recent estimates of the conglomerate discount, traditionally cited at 13–15%, are now highly variable, with modern mega-tech conglomerates (e.g., Apple, Alphabet) showing a 70% "diversification premium" instead of a discount. However, traditional conglomerates still often face a ~7–11% discount, with variations driven by regional differences, such as a premium in emerging markets but persistent, albeit shrinking, discounts in developed economies.

- Why would conglomerates in emerging markets trade at a premium?

The average hides some interesting variations across companies and countries

Evidence across countries

- German diversified firms do not trade at a discount

Lins and Servaes (1999)

- Diversification destroys wealth in Germany if managers own less than five percent of the shares

< 5% ownership	**Discount: 28%**
> 5% ownership	Premium: 4%

Lins and Servaes (1999)

- Reminder: Family ownership in Germany has been stable in the last 30 years.
- Business Groups sometimes centred around a family other cases not. In Japan there is a Keiretsu system which may be a substitute for diversification. Keiretsu is a set of companies with informal interlocking business relationships and shareholdings, e.g. Mitsubishi.

Maybe the market gets it wrong

- Does the market have problems valuing diversified firms? But why?
- Lower analyst-following maybe related to diversification?
- Does analyst following improve after a spin-off?

Analyst following pre- and post-spin-offs

- Number of analysts following the combined firm:

2 years before the spin-off:	19.1		
1 year before the spin-off:	18.7		
1 year after the spin-off:	24.4	17.2 for parent	9.7 for subsidiary
2 years after the spin-off:	24.2	17.0 for parent	9.2 for subsidiary

3. Benefits of diversification (i): Cost of capital is lower for internally generated funds?

- Diversified firms create an internal capital market, where divisions with poor investment opportunities and excess cash flows, finance divisions with good investment opportunities and low cash flows.
- Benefits to internal capital markets even if the firm cannot
- raise any external funds. More efficient allocation of capital
- In emerging markets lower discounts or even premium.
- Financial Times: "In emerging economies with their thin capital markets costly equity capital, conglomerates can foster new industries".

(ii) Corporate diversification requires lower cash holdings

- Duchin (2010) finds that multidivision firms hold significantly less cash (12% of assets) than stand-alone firms (21%) because they are diversified in their investment opportunities.
- Lower cross-divisional correlations in investment opportunity
- correspond to lower cash holdings.
- The effects are strongest in financially constrained firms and in well-governed firms, and correspond to efficient fund transfers from low- to high-productivity divisions.
- Results suggest an efficient link between diversification and corporate liquidity.

Emerging markets: internal capital market

Emerging markets with family ownership & under-developed financial institutions, thin stock markets, small market for corporate control benefit from an internal capital market and diversification.

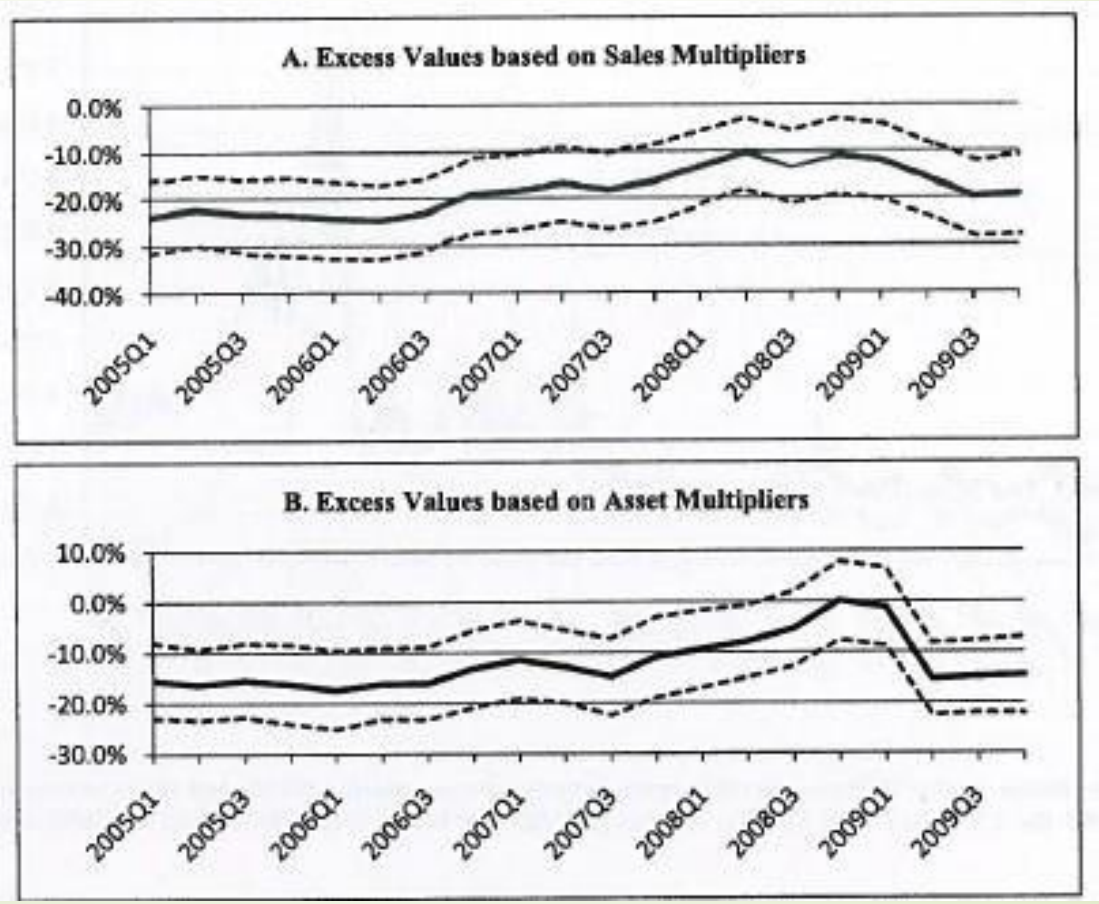
But,

- Study of Indian business groups suggests that a majority are organised as a collection of independent companies. Restricts their ability to use internal capital markets to prop- up inefficient operations
- Political connections make large groups attractive

US conglomerates have not always traded at a discount: Evidence from the financial crisis (Kuppuswamy & Villalonga 2015)

- ‘Does diversification create value in the presence of external financing constraints: evidence from the 2007-2009 financial crisis 2015’
- During crisis, US diversified firms became significantly more leveraged than single segment firms, 'the more money effect' (Jeremy Stein) result of co- insurance effect which increases debt capacity of firms.
- Conglomerate’s access to internal capital markets became more valuable because of i) external capital markets became more costly and ii) efficiency of internal capital markets- 'the smarter money effect' (Jeremy Stein). When there are credit constraints divisions must compete for funds ad benefits of internal capital markets are more likely to exceed their costs.
- The result was the diversification discount fell by between one half and two thirds during the crisis.

Kuppuswamy & Villalonga: Discount of Diversified Firms Relative to Single-Segment Firms



Other Benefits: (iii) Coinsurance & Debt Capacity Motives

So long as cash flows are not perfectly correlated, merger has an insurance effect allowing combined firms to borrow more cheaply

But does this coinsurance effect increase value?

FT: "A break-up of GE risks damaging the groups financial strength and credit rating… Fitch, rating agency, says it would downgrade GE if it was significantly smaller.. reducing the company's diversification"

- Assume a Modigliani and Miller world of no taxes and no bankruptcy costs: credit rating will go down but no change in the value of the combined firms. Why? There is a redistribution of risk between lenders who take on more risk and borrowers who take on less risk.
- But, if co-insurance allows companies to take on more debt.
- Benefits of higher debt capacity? 1) Higher tax savings from interest deductions. 2) Lower PV of bankruptcy and distress costs. What's it worth?

Coinsurance Effect: some evidence

- Coinsurance among a firm's business units can reduce systematic risk through the avoidance of countercyclical deadweight costs. Diversified firms have, on average, a lower cost of capital than comparable portfolios of stand-alone firms. Diversified firms with less correlated segment cash flows have a lower cost of capital, consistent with a coinsurance effect.

- Holding cash flows constant, the estimates imply an average value gain of approximately 5% when moving from the highest to the lowest cash flow correlation quintile.

Hann, Ogneva, Ozbas (2013)

Takeaways

- On average diversified firms stand at a discount. Conglomerate discount is persistent but varies over time. How much is due to managerial entrenchment?
- Conglomerates persist in most countries, often where family ownership is important. Corporate diversification may proxy for personal diversification. Some conglomerates stand at a premium.
- Financial advantages of diversification are small unless capital market is under developed. Maybe important in emerging markets because of external market frictions (an internal market for corporate control) or when there is a financial crisis:
- We should not be surprised that shareholder activists often target diversified firms and demand unbundling